



PRE-LEAVING CERTIFICATE EXAMINATION 2025

ACCOUNTING – HIGHER LEVEL

(400 marks)

Time: 3 Hours

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).

This section has four questions (numbers 1 – 4). The first question (**A or B**) carries 120 marks and the remaining three questions carry 60 marks each.

Candidates should answer either **QUESTION 1 (A or B) only** OR attempt any **TWO** of the remaining three questions in this section.

Section 2: Financial Accounting (200 marks).

This section has three questions (numbers 5 – 7). Each question carries 100 marks.
Candidates should answer **TWO** of these questions.

Section 3: Management Accounting (80 marks).

This section has two questions (numbers 8 and 9). Each question carries 80 marks.
Candidates should answer **ONE** of these questions.

Calculators

Calculators may be used in answering the questions on this paper.
It is very important that workings are shown in the answer book(s)
so that full credit can be given for correct work.

SECTION 1 — Financial Accounting (120 Marks)

Answer Question 1 (A or B) **OR** any TWO other questions

1. Answer (A) OR (B)**(A) Company Final Accounts**

Boyne plc, a company in the pharmaceutical research sector, has an authorised capital of €1,800,000 divided into 1,200,000 ordinary shares of €1 each and 600,000 5% preference shares of €1 each. The following trial balance was extracted from its books at 31/12/2025:

	€	€
Land and buildings at cost	670,000	
Accumulated depreciation - buildings		44,000
Delivery vans (cost €130,000)	92,000	
Discount (net)	4,200	
Profit and loss balance 01/01/2025		41,500
Stock on hand 01/01/2025	52,000	
Debenture interest for the first nine months	5,600	
3% Investments acquired on 01/05/2025	150,000	
Patents (incorporating 4 months investment income)	49,500	
Purchases and sales	858,000	1,215,600
Dividends paid	18,000	
Bad debts provision		3,700
Debtors and creditors	84,200	78,500
Bank		65,400
Salaries and general expenses (including suspense)	252,500	
8% Debentures (including €45,000 issued on 01/10/2025)		150,000
Issued share capital – ordinary shares		500,000
– 5% preference shares		130,000
VAT		2,400
Advertising	29,500	
Rent received		15,400
Capital reserve	— —	19,000
	2,265,500	2,265,500

The following information and instructions are to be taken into consideration:

(i) Stock at cost on 31/12/2025 was €65,000. This figure includes damaged stock which cost €4,200 but which now has a net realisable value of 55% of cost.

(ii) The cost of delivery vans is to be written off on a straight line basis over 5 years. A full year's depreciation is charged in the year of acquisition and none in the year of disposal. Delivery vans have a scrap value of 5% of the original cost.

NOTE: During the year a delivery van which had cost €40,000 in 2021 was traded in for €11,000 against a new delivery van costing €56,000. The cheque for the net amount of this transaction was incorrectly treated as a

purchase of trading stock but was entered correctly in the bank account. These were the only entries in the books.

(iii) It was discovered that goods had been received from a supplier on 31/12/2025 on a 'sale or return' basis. These goods had been entered in the books as a credit purchase in error. The expected selling price of these goods is €5,500 which is cost plus 25%.

(iv) Patents (incorporating 4 months investment income) are being written off over a 7-year period which commenced in 2023.

(v) The suspense figure arises as a result of an incorrect figure for debenture interest (although the correct figure had been entered in the bank account) and discount allowed €500 entered only in the discount account.

(vi) A new warehouse was purchased during the year for €100,000 plus VAT @ 13.5%. The total amount paid to the vendor was entered in the land & buildings account. No entry was made in the VAT account.

(vii) Buildings are to be depreciated at the rate of 2% of cost per annum (land at cost was €200,000).

The company revalued land and buildings at €800,000 on 31/12/2025 and this has yet to be reflected in the accounts.

(viii) The rent received was in respect of a warehouse rented out by the company for €1,400 per month commencing on the 01/04/2025.

(ix) The Directors recommend that: 1. Provision should be made for both investment income due and debenture interest due. 2. Provision for bad debts to be adjusted to 4% of debtors. 3. A transfer of €25,000 should be made from profit to the capital reserve.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2025. **(75)**

(b) Prepare a balance sheet as at 31/12/2025. **(45)**

(120 marks)

1. Answer (A) OR (B)

(B) Company Final Accounts including a Manufacturing Account

Suir Ltd, a food-processing manufacturer, has an authorised capital of €2,200,000 divided into 1,600,000 ordinary shares at €1 each and 600,000 5% preference shares at €1 each.

The following trial balance was extracted from the books on 31/12/2025:

	€	€
Plant and machinery (cost €380,000)	320,000	
Factory buildings (cost €980,000)	950,000	
Hire of special equipment	42,000	
General factory overheads (including suspense)	144,000	
Stocks on hand 01/01/2025		
Raw materials	30,000	
Work in progress	42,500	
Finished goods	42,000	
Direct factory wages	163,000	
Purchase of raw materials	836,000	
Royalty payments	32,500	
Sale of scrap materials		20,800
Selling expenses	49,500	
Administration expenses	63,500	
Sales		1,815,000
Discount (net)		5,900
Rent		17,300
5% Investments acquired on 01/04/2025	280,000	
Investment interest received		3,100
Profit and loss balance 01/01/2025		76,400
PAYE, PRSI & USC		2,050
8% Debentures (including €60,000 issued on 01/04/2025)		330,000
Debenture interest paid	5,500	
Bad debt provision		3,450
Dividends paid	30,500	
Bank		93,500
Debtors and creditors	84,000	67,500
Issued share capital - ordinary shares		510,000
– 5% preference shares		170,000
	3,115,000	3,115,000

The following information and instructions are to be taken into account:

(i) Stocks on hand at 31/12/2025: - Raw materials €31,500 - Work in progress €30,500 - Finished goods €62,000

(ii) No entry has been made in the books for sale of goods to a debtor on 31/12/2025. An invoice had been sent for €12,000, which included a mark-up on cost of 25%. The goods were not dispatched until 02/01/2026

and were included in closing stock.

(iii) Included in the figure for sale of scrap materials is €8,500 received from the sale of an old machine on 30/04/2025. This machine had cost €36,000 on 01/08/2020.

(iv) Plant and Machinery is to be depreciated at a rate of 15% of cost from the date of purchase to the date of sale.

(v) The suspense figure arises as a result of discount received €1,600 entered only in the discount account and credit purchases of raw materials €13,000 which were entered only in the creditors account.

(vi) Provide for a recent wage increase of 2% to be backdated to cover the three months from 01/10/2025.

(vii) During 2025 a store was built by the firm's own employees. The cost of their labour €70,000 (before wage increase) had been treated as a business expense and the materials costing €68,000 were taken from the firm's stocks. The building work commenced on 01/01/2025 and took 12 months to complete. No entry had been made in the books for the store.

(viii) The figure for bank in the trial balance has been taken from the firm's own records. However, a bank statement dated 31/12/2025 shows an overdraft of €84,300. A comparison of the bank account and the bank statement revealed the following discrepancies: 1. A credit transfer for €4,000 had been received on 31/12/2025 in respect of a debtor who has recently been declared bankrupt. This represents a first and final payment of 50c for every €1 owed. 2. A cheque for €5,400 received from a debtor had been entered in the books (cash book and ledger) as €4,700. 3. A cheque for fees of €4,500 issued to a creditor had not been presented for payment by 31/12/2025.

(ix) Provision should be made for the following: 1. Investment income due and debenture interest due. 2. Provision for bad debts to be adjusted to 4% of debtors. 3. Depreciation on factory buildings at a rate of 2% of cost per annum.

Required:

(a) Prepare a manufacturing, trading and profit and loss account for the year ended 31/12/2025. **(75)**

(b) Prepare a balance sheet as at 31/12/2025. **(45)**

(120 marks)

Q2 (60 marks) — Cash Flow Statement

Boyle plc, a renewable-energy infrastructure company, has supplied the following balance sheets as at 31/12/2025 and 31/12/2024, together with an abridged profit and loss account for the year ended 31/12/2025.

Abridged Profit and Loss Account for the year ended 31/12/2025

	€
Operating profit	179,950
Investment income for the year	2,200
Interest for the year	(13,300)
Profit before taxation	168,850
Taxation for the year	(48,500)
Profit after taxation	120,350
Dividends paid	(35,000)
Retained profit for the year	85,350
Retained profit on 01/01/2025	95,000
Retained profit on 31/12/2025	180,350

Balance Sheets

	31/12/2025		31/12/2024	
Fixed Assets	€	€	€	€
Land and buildings at cost	800,000		700,000	
Less accumulated depreciation	(82,000)	718,000	(66,000)	634,000
Machinery at cost	450,000		360,000	
Less accumulated depreciation	(205,000)	245,000	(180,000)	180,000
		963,000		814,000
Financial Assets				
Investments at cost		80,000		310,000
Current Assets				
Stock	168,000		156,800	
Debtors	163,000		148,000	
Investment income due	350		450	
Government securities	44,000		---	
Cash	3,900		2,200	
	379,250		307,450	
Less Creditors: amounts falling due within 1 year				
Trade creditors	198,000		231,000	
Bank	8,800		13,200	
Interest due	3,100		3,750	
Taxation	40,000		49,500	
	249,900	129,350	297,450	10,000
		1,172,350		1,134,000
Financed by				
Creditors: amounts falling due after more than one year				

	31/12/2025		31/12/2024	
8% Debentures		200,000		385,000
Capital and Reserves				
Ordinary shares @ €1 each	770,000		640,000	
Share premium	22,000		14,000	
Profit and loss account	180,350	972,350	95,000	749,000
		1,172,350		1,134,000

The following information is also available: 1. There were no disposals of machinery during the year but new machines were acquired. 2. New buildings were purchased during the year for €200,000. Buildings were sold during the year at a loss of €15,000. 3. Depreciation charged for the year on buildings in arriving at the operating profit was €42,000.

Required:

(a) Prepare the cash flow statement of Boyle plc for the year ended 31/12/2025 including reconciliation statements. **(52)**

(b) (i) Explain why earning profit may not always result in a corresponding increase in cash balances. Use figures from this question to support your answer.

(ii) Outline the benefits to Boyle plc of preparing a Cash Flow Statement. **(8)**

(60 marks)

Q3 (60 marks) — Incomplete Records

On 01/01/2025, **M. Cremin** purchased a business which included the following tangible assets and liabilities:

Buildings €320,000; stock €68,000; debtors €78,000; equipment €75,000; wages due €1,900; trade creditors €60,500; rates prepaid (1 month) €600; delivery van €38,000 and cash €350.

During 2025 Cremin did not keep a full set of accounts but was able to supply the following information for the year ended 31/12/2025:

Cash Payments: Lodgements €208,000; general expenses €13,500; purchases €88,000.

Bank Payments: Interest €3,600; creditors €39,500; rates for 12 months €7,200; general expenses €86,000; equipment (purchased on 01/05/2025) €24,000 and light and heat €22,000. The payment for general expenses includes a payment of €4,300 for a diesel bill. It is estimated that 20% of this diesel bill relates to Cremin's private use.

Bank Lodgements: Debtors €49,000, cash €208,000.

Each week Cremin took goods from stock to the value of €130 and cash €190 for household expenses.

On 01/07/2025 Cremin borrowed €144,000 all of which was used to purchase an adjoining building on the same date. Interest was to be charged on the loan at the rate of 5% per annum. The capital sum borrowed is to be repaid using an investment fund which has been set up. Payments were made into this investment fund from the business bank account. The fund had earned interest of €170 by 31/12/2025.

Cremin estimated that 15% of light and heat used and 20% of interest payable should be attributed to private use.

Cremin has decided that equipment be depreciated at 10% of cost per annum, buildings at 2% of cost per annum and delivery vans at 20% of cost per annum.

Cremin has also decided to set up a provision for bad debts amounting to 4% of debtors on 31/12/2025.

Included in the assets and liabilities of the firm on 31/12/2025 were stock €42,500 (which includes a stock of heating oil €600), electricity due €750, debtors €45,000, trade creditors €57,500, cash €500 and wages due €1,550.

Required:

(a) Prepare the trading and profit and loss account for Cremin, for the year ended 31/12/2025. (Show your workings). **(52)**

(b) (i) What additional information would be available to Cremin if he used the double entry system to record financial transactions?

(ii) What advice would you give Cremin in relation to record keeping? **(8)**

(60 marks)

Q4 (60 marks) — Correction of Errors and Suspense Account

The Trial Balance of **T. Dolan**, a motor-parts retailer, failed to agree on 31/12/2025. The difference was entered in a Suspense Account and the final accounts were prepared which showed a net profit of **€47,500**.

On checking the books, the following errors and omissions were discovered:

(i) Dolan's private car valued at €8,000 was presented to the business. This car was later sold on credit to a debtor of the business for €8,700. The sale had been treated as a cash sale.

(ii) Dolan had returned a motor car, previously purchased on credit from a supplier, for €9,500 and had entered this transaction in the relevant ledger accounts incorrectly as €10,500. However, a credit note subsequently arrived from a supplier showing a restocking charge of €350 to cover the cost of the return. The only entry made in respect of this credit note was a credit entry of €9,150 in the creditors account.

(iii) A private debt of €1,200 owed to Dolan had been offset in full settlement against a business debt of €1,500 owed by Dolan. No entry had been made in the books in respect of this transaction.

(iv) [SWAPPED IN from a different year] A payment of €960 was received from V. Murphy, a debtor, whose debt had previously been written off and who wishes to trade with Dolan again. This represents 80% of the original debt and the debtor has undertaken to pay the remainder of the debt by February 2026. No entry had been made in the books.

(v) Car parts, previously sold on credit for €1,050, had been returned to Dolan. These returns had been incorrectly entered as €25 on the credit of equipment account and as €320 on the debit of purchases account.

Required:

(a) Journalise the necessary corrections. **(40)**

(b) Prepare a statement showing the corrected net profit. **(14)** **(c) (i)** What is the purpose of preparing a Trial Balance?

(ii) State and explain two types of errors NOT revealed by the Trial Balance. **(6)**

(60 marks)

5. Interpretation of Accounts

The following figures have been taken from the final accounts of **Lúnasa plc**, a company in the EV charging infrastructure sector, for the year ended 31/12/2025. The company has an authorised capital of €1,000,000 made up of 800,000 ordinary shares of €1 each and 200,000 5% preference shares of €1 each. The firm has already issued 600,000 ordinary shares and 100,000 5% preference shares.

Trading and Profit and Loss account for year ended 31/12/2025

	€	€
Sales		920,000
Opening stock	70,000	
Cost of goods sold		(680,000)
Operating expenses for year		(105,000)
Interest		(14,000)
Net profit		121,000
Dividends paid		(25,000)
Retained profit		96,000
Profit and loss balance 01/01/2025		30,000
Profit and loss balance 31/12/2025		126,000

Ratios and information for year ended 31/12/2024

Earnings per ordinary share	16c
Dividend per ordinary share	3.5c
Interest cover	7 times
Quick ratio	1.10 : 1
Return on capital employed	12%
Market value of one ordinary share	€1.25
Gearing	22%
Dividend cover	4 times
Dividend yield	2.8%

Balance Sheet as at 31/12/2025

	€	€	€
Fixed Assets			
Intangible		60,000	
Tangible		720,000	780,000
Investments (market value 31/12/2025 – €165,000)			136,000
			916,000
Current Assets		145,000	
Less Creditors: amounts falling due within 1 year			
Bank overdraft	(18,000)		
Trade creditors	(42,000)	(60,000)	85,000
			1,001,000
Financed by			
7% debentures (2030 secured)			175,000
Capital and Reserves			
Ordinary shares of €1 each		600,000	
5% preference shares of €1 each		100,000	
Profit and loss balance		126,000	826,000
			1,001,000

Market value of one ordinary share €1.32 on 31/12/2025.

(a) You are required to calculate the following for 2025: (where appropriate calculations should be made to two decimal places).

- (i) The closing stock if the rate of stock turnover is 8.5 based on average stock
- (ii) Return on capital employed
- (iii) Price earnings ratio
- (iv) Gearing
- (v) Interest cover

(50)

(b) Advise the bank manager if a loan of €300,000, on which a rate of 8.5% would be charged, should be granted to Lúnasa plc.

The loan is to finance the expansion of EV charging infrastructure into continental European markets.

Use relevant ratios, percentages and other information to support your answer.

(40)

(c) Lúnasa plc is considering acquiring **Stáirse Ltd**, a charging station operator, in 2026. Stáirse Ltd has supplied the following balance sheet information for 31/12/2025.

Closing stock	€52,000
Creditors	€58,000
Debtors	€44,000
Expenses accrued	€18,000
Expenses prepaid	€15,000
Bank overdraft	€22,000

Based on the information given in the above table:

(i) Calculate the current ratio for Stáirse Ltd. Calculate the acid test ratio for Stáirse Ltd.

(ii) Using the calculated figures explain why it is important for Lúnasa plc to analyse the liquidity position of Stáirse Ltd.

(10)

(100 marks)

SECTION 2 — Financial Accounting (200 Marks)

Answer any TWO of these questions

Q6 (100 marks) — Published Accounts

Hartnett plc, a food-retail company, has an authorised share capital of €900,000 divided into 600,000 ordinary shares of €1 each and 300,000 5% preference shares of €1 each. The following trial balance was extracted from its books on 31/12/2025:

	€	€
Buildings at cost	825,000	
Buildings – accumulated depreciation on 01/01/2025		66,000
Vehicles at cost	560,000	
Vehicles – accumulated depreciation on 01/01/2025		224,000
3% Investments (purchased 01/02/2025)	330,000	
Debtors and creditors	320,000	391,000
Stock 01/01/2025	76,000	
Patent 01/01/2025	100,000	
Administrative expenses	120,000	
Distribution costs	488,000	
Insurance	8,800	
Bad debts	2,750	
Purchases and sales	1,821,200	3,003,000
Rental income		55,000
Profit on sale of land		95,000
Dividends paid	29,700	
Bank	98,000	
VAT		5,500
6% Debentures (2030 secured)		220,000
Profit and loss account 01/01/2025		55,000
Investment income		7,700
Issued capital		
Ordinary shares		330,000
5% preference shares		275,000
Provision for bad debts		25,850
Debenture interest paid	9,900	
Discount		36,300
	4,789,350	4,789,350

The following information is relevant:

(i) Stock on 31/12/2025 was €99,000.

(ii) During the year the land adjacent to the company's premises, which had cost €180,000 was sold for €275,000. At the end of the year the company revalued its buildings at €1,023,000. The company wishes to reflect this valuation in this year's accounts.

(iii) Provide for debenture interest due, investment income due, auditor's fees €17,600, director's fees €49,500 and corporation tax €108,900.

(iv) Included in distribution expenses is €15,400 for commission earned.

(v) Depreciation is to be provided for on buildings at a rate of 2% per annum straight line and is to be allocated 20% to distribution costs and 80% to administrative expenses. There was no purchase or sale of buildings during the year. Depreciation is to be provided for on vehicles at a rate of 20% per annum on a reducing balance basis (split same 20/80).

(vi) The patent was acquired on 01/01/2021 for €180,000. It is being amortised over 9 years in equal instalments. The amortisation is to be included in cost of sales.

(vii) The company is being sued by a former employee who is claiming unfair dismissal. The former employee is seeking compensation for €80,000. The company's legal team have advised that as all proper procedures were followed in the course of the dismissal, it is unlikely the compensation will have to be paid to the former employee. The company has received an invoice for legal fees to the value of €10,000.

Required:

(a) Prepare the published profit and loss account of Hartnett plc for the year ended 31/12/2025, and the balance sheet as at that date in accordance with the Companies Acts and appropriate accounting standards, showing the following notes: 1. Accounting policy note for tangible fixed assets and stock. 2. Operating profit. 3. Tangible fixed assets. 4. Dividends. 5. Contingent Liability. **(90)**

(b) (i) Explain the term "**Exceptional Item**" and use an example to support your answer.

(ii) Distinguish between a **qualified auditor's report** and an **unqualified auditor's report**. **(10)**

(100 marks)

Q7 (100 marks) — Club Accounts

Included in the assets and liabilities of **Bantry Tennis Club** on 01/01/2025 were the following:

Clubhouse and courts at cost €1,050,000, bar stock €2,100, equipment at cost €48,000, bar debtors €620, life membership €52,000, bar creditors €850, wages due €500, levy reserve fund €55,000, subscriptions received in advance €1,200, investment interest receivable due €480, bank loan €240,000.

All fixed assets already have 3 years' depreciation accumulated at 01/01/2025.

The club holds 5% Investments at cost €75,000.

The club treasurer has supplied the following account of the club's activities during the year ended 31/12/2025.

Receipts and Payments account for the year ended 31/12/2025

Receipts	€	Payments	€
Balance 01/01/2025	10,500	Catering purchases	99,500
Subscriptions	460,000	Bank loan repayment + 9 months' interest at 6% per annum on 30/06/2025	250,800
10 months' Interest on 5% Investments, up to 30/06/2025	5,000	Sundry expenses	68,400
Competition fees	24,500	Bar purchases	47,500
Catering receipts	132,000	Competition prizes	20,500
Sale of Equipment (cost €18,000)	4,500	Purchase of Equipment	50,000
National Lottery grant	130,000	Coaching wages	16,800
Tennis Ireland grant	14,500		
Bar receipts	79,000		
		Balance 31/12/2025	306,500
	860,000		860,000

Additional information and instructions:

(i) Bar stock (including catering stock €13,000) on 31/12/2025 was €23,000.

(ii) Bar debtors and bar creditors on 31/12/2025 were €880 and €1,240 respectively.

(iii) Provide for depreciation on equipment at 12.5% of cost. A full year's depreciation is charged in the year of acquisition and none in the year of disposal.

(iv) Clubhouse and courts are to be depreciated by 2% of cost.

(v) The club has decided that life membership is to be credited to income over a 10-year period which commenced in 2023.

(vi) The grant from the National Lottery was received on a once-off basis. It is to be treated as a capital item. The grant from Tennis Ireland is received on an annual basis to support the day-to-day activities of the club. It is to be treated as a revenue item.

(vii) The wages due on 01/01/2025 were owed to the club coach for two weeks. Provide for three weeks' wages due on 31/12/2025 and include a bonus of €30 for each of the three weeks.

(viii) Subscriptions include: 1. Subscriptions for 2026 amounting to €3,500. 2. Levy for 2025 of €100 each on all 700 members. 3. Levy for 2024 of €100 each due from 25 members [graft from 2022 Abbey structure].

Required:

(a) Show the club's accumulated fund (capital) on 01/01/2025. **(30)**

(b) Show the income and expenditure account for the year ending 31/12/2025. **(35)**

(c) Show the club's balance sheet as at 31/12/2025. **(25)**

(d) The club is considering building a new pavilion and floodlit court complex at a cost of €280,000. Outline the options available to the club in funding this project with reference to the accounts. **(10)**

(100 Marks)

SECTION 3 — Management Accounting (80 Marks)

Answer ONE of these questions

Q8 (80 marks) — Costing

(a) Stock Valuation — Greene Ltd

Greene Ltd is a retail store that buys and sells one product. The following information relates to the purchases and sales of the firm for the year 2025.

Period	Purchases on Credit	Credit Sales	Cash Sales
01/01/2025 – 30/04/2025	4,800 @ €6 each	1,200 @ €11 each	1,800 @ €11 each
01/05/2025 – 31/08/2025	3,800 @ €9 each	1,500 @ €12 each	1,300 @ €12 each
01/09/2025 – 31/12/2025	2,800 @ €8 each	1,700 @ €13 each	1,450 @ €12 each

On 01/01/2025 there was opening stock of 5,000 units @ €6 each.

Required:

- (i) Calculate the value of closing stock at 31/12/2025 using First in/First out (FIFO) method.
- (ii) Prepare a trading account for the year ending 31/12/2025.
- (iii) **Explain the FIFO method of stock valuation and name one other method of valuing stock.**

Q9 (80 marks) — Flexible Budgeting

Healy Ltd manufactures a component for the renewable-energy industry. The following flexible budgets have already been prepared for 60%, 75% and 90% of the plant's capacity:

Output levels	60%	75%	90%
Units	30,000	37,500	45,000
Costs	€	€	€
Direct materials	135,000	168,750	202,500
Direct wages	180,000	225,000	270,000
Production overheads	180,000	217,500	255,000
Other overhead costs	225,000	266,250	307,500
Administration overheads	60,000	60,000	60,000
	780,000	937,500	1,095,000

Profit is budgeted to be 20% of sales.

Required:

(a) (i) Separate production overheads into fixed and variable elements.

(ii) Separate other overhead costs into fixed and variable elements.

(iii) Prepare a flexible budget for 95% activity level using marginal costing principles, and show the contribution.

(b) Assume that Healy Ltd is currently operating at 100% capacity and is considering two capital-expenditure options costing €12,000 each:

Option 1 Modernisation of machinery which will save €0.80 per unit in production overheads.

Option 2 Buying new machinery which would increase the plant's capacity by 10% while reducing all fixed overheads (including administration) by 8%.

Required:

(i) Prepare flexible budgets, using marginal costing principles and showing contributions, for both options taking the new cost structures into account.

(ii) Advise the company on the best option.

(c) (i) Distinguish between the terms '**contribution**' and '**profit**'.

(ii) Outline why Healy Ltd would prepare a **flexible budget**. (10)